Azilen

Referral Program Fraud Prevention Document

VERSION – 1.2

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Referral Program Fraud Prevention & Abuse Control Requirements

1. Purpose

This document defines fraud prevention, abuse control, eligibility validation, and reward governance requirements for the referral program.

The objective is to:

- Preventing misuse of referral credits
- Ensure only legitimate business users participate
- Reduce fake/self-referrals
- Protect revenue from reward abuse
- Establish auditable referral lifecycle controls

2. Business Context

The application supports a referral program where:

- A **Referrer** shares a referral code with a potential customer
- A **Referee** register's using the referral code
- The **Referee** receives bonus credit tokens immediately after successful registration and referral redemption
- The **Referrer** receives bonus credit tokens only after the referee:
    - Completes registration
    - Becomes a paid customer
    - Maintains paid subscription for a minimum qualification duration (example: 3 months)

3. Key Definitions

Term	Description
Referrer	Existing customer sharing referral code
Referee	New customer using referral code
Billing Cycle	Successful paid subscription renewal cycle
Qualified Referral	Referral meeting all fraud and payment criteria
Bonus Credit Tokens	Incentive credits awarded by system
Business Email Domain	Company-owned corporate email domain
Generic Email Domain	Public/free email providers
Disposable Email	Temporary email service providers

4. Fraud Prevention Requirements

The referral program should be strengthened with multiple fraud prevention and misuse protection mechanisms to ensure that referral rewards are granted only to genuine business customers and not exploited through fake accounts, self-referrals, or short-term subscription abuse. The objective of these enhancements is to protect the platform from revenue leakage, maintain fairness in the referral ecosystem, and ensure that rewards are tied to real customer acquisition and retention.

Following is some of the fraud prevention provisions which were discussed:

- Restricting the domain to business domains only, rejecting all disposable and generic email domains.
- Referrals can be initiated by paid customers only, that too, after spending for X billing cycles.
- Capping the referrals. only 1 referral per paid billing cycle (upon renewal) per company.
- Cancel the bonus if company cancels the annual plan at the time of reversal.

4.1 Restricting the domain to business domains only, rejecting all disposable and generic email domains

As part of the registration and referral validation process, the system should allow only valid business email domains to participate in the referral program. Public or generic email providers such as Gmail, Yahoo, Hotmail, Outlook, and similar free email services should not be eligible for referral rewards because these domains are easy to create in bulk and are commonly used for fake registrations. For example, registrations using addresses such as john@gmail.com or demo_user@yahoo.com should be rejected for referral participation, whereas business emails like john@acme.com or sarah@techsolutions.io should be accepted. In addition, disposable or temporary email providers such as TempMail, yopMail, and 10MinuteMail should also be blocked using a maintained blacklist of disposable domains. The platform should further validate whether the email domain is legitimate or not.

4.2 Referrals can be initiated by paid customers only, that too, after spending for X billing cycles

To ensure that only committed and paying customers can generate referrals, referral functionality should be enabled only after a customer has completed a predefined number of successful billing cycles. For example, a customer may become eligible to invite referrals only after completing three monthly subscription renewals or one fully paid annual subscription cycle. This prevents newly created accounts or trial users from immediately exploiting the referral system. Free-tier accounts, trial users, users with failed payments, or recently refunded subscriptions should not be allowed to generate referral invitations. Until eligibility is achieved, the referral section should either remain hidden or display an informational message such as: “Referral benefits become available after 3 or X successful billing cycles.”

4.3 Capping the referrals or controlling the referrals based on the paid billing cycle (upon renewal) per company.

To further prevent referral farming and excessive reward abuse, referral rewards should be capped at one successful referral per paid billing cycle per company account or set by Admin Manager. For example, If the SuperAdmin Manager has set the capping of 1 month, then if a company has an active monthly subscription, it can earn a reward for only one successful referral during that paid billing month. If the SuperAdmin Manager has set the capping for 3 months, then 1 referral per 3 months will be added. This formula is to be added in the application while defining the Referral Template. Go through certain examples and criteria for more understanding :

Let say there are some customers who are already using the AiFinLit Service. Customer A is using the AiFinLit service for the last 6 months and Customer B is using the AiFinLit service for last 1 month only. Now there is a scheme roll-out by Super Admin, that User can refer to other companies or friends to register AiFinLit Service with below eligibility criteria and this referral option is for one month only like from 1st May 2026 to 31st May 2026:

1. He/She should will be eligible if he/She has been using the AiFinLit Service for minimum two billing months, i.e. who has successfully paid two months of subscription billing. (Eligibility criteria to become Referee)
2. Each user will be eligible to have one Referral bi-monthly. (Referral added +1 by month)

Now based on the above Referral Eligibility criteria, Company A will be eligible to have referral option in his portal and Company B will not be eligible to have Referral option, because Company A has passed the first criteria of eligibility to have referral option. Company B will fail to meet these criteria because he has not completed two successful paid subscription billing cycles.

5. Referral Scheme Overview – below for more information for formula based calculation

4.4 Cancel the bonus if company cancels the annual plan at the time of reversal.

The referral reward should also include controls to prevent abuse through subscription cancellation or refund manipulation. Referral rewards granted to the referrer should initially remain in a “pending” state and should only become fully approved after the referred customer successfully maintains a paid subscription for a defined retention period, such as 90 days. For example, if User A refers to User B, and User B subscribes to a paid plan, User A’s reward should remain pending until User B completes three months of active paid usage. If User B cancels the subscription after only one month, requests a refund, or initiates a chargeback, the pending reward should automatically be cancelled. Similarly, for annual subscription plans, if a company cancels the annual contract before the committed duration is completed, all pending referral rewards associated with that subscription should be revoked.

From an administration and operational perspective, the platform should provide dedicated referral management. Administrators should be able to configure referral eligibility rules, define referral caps and monitor complete all referral transactions history. For example, an admin should be able to see when a referral code was generated, when it was redeemed, whether the referee completed the required billing cycles, etc.

Overall, these enhancements will create a more secure, scalable, and abuse-resistant referral program that rewards genuine customer growth while significantly reducing the possibility of fake registrations, self-referrals, referral farming, short-term subscription abuse, and financial loss to the business

5. Referral Scheme Overview

AiFinLit Referral Scheme allows existing customers to refer other companies or friends to register for the AiFinLit service. The Referral Scheme is fully controlled and configured by the Super Admin and is available only during the active scheme period defined by the Admin.

For example, the Super Admin may launch a Referral Scheme from 1st January 2026 to 31st January 2026. During this active period, eligible customers will be able to see and use the referral option in the AiFinLit portal. Once the scheme expires, the referral option will automatically disappear, and the referral quantity will reset to zero irrespective of referrals already sent; only unused referrals will set to zero.

To become eligible for the Referral Scheme, a customer must complete the minimum required number of successful subscription billing cycles. In the standard eligibility rule, a customer must complete at least 2 successful billing cycles before becoming eligible to use referrals.

Assume the following customers are already using the AiFinLit service:

- Company-A has completed 6 successful subscription billing cycles.
- Company-B has completed 1 successful subscription billing cycle.
- Company-C has completed 3 successful subscription billing cycles.

Since Company-A has completed more than 2 successful billing cycles, Company-A becomes eligible for the Referral Scheme. Company-C also becomes eligible because it has completed 3 successful billing cycles. However, Company-B is not eligible because it has completed only 1 billing cycle and has not met the minimum eligibility requirement.

Now suppose the Super Admin launches a Referral Scheme for the month of January with the following rule:

One additional referral is earned for every 2 successful billing cycles.

The referral calculation formula for January will be:

Referrals = Successful Billing Cycles ÷ 2

Under this rule:

Company-A has completed 6 billing cycles. Therefore, the referral calculation will be:

6 ÷ 2 =3

So, Company-A will receive 3 referrals and the referral option will be visible in the portal during January.

Company-B has completed only 1 billing cycle. Since the minimum eligibility requirement is 2 billing cycles, Company-B will not receive any referrals and the referral option will not be visible in the portal.

Company-C has completed 3 billing cycles. Therefore, the referral calculation will be:

3 ÷ 2=1.5

Only completed referral values are considered. Therefore, Company-C will receive 1 referral.

This means that during January:

- Company-A will see 3 referrals.
- Company-B will see 0 referrals and no referral option.
- Company-C will see 1 referral.

The referrals are valid only during the active scheme period. If the January scheme expires on 31st January 2026 and the customer logs in after the expiry date, all referral quantities will become zero and the referral option will no longer be visible in the portal.

Now consider another scenario where the Super Admin configures different referral rules for different months.

In this scenario:

- January Scheme: 1 referral for every 2 billing cycles
- February Scheme: 1 referral for every 3 billing cycles
- March Scheme: 1 referral for every 1 billing cycle

For January, the calculation rule is:

Referrals = Billing Cycles ÷ 2

Under this January rule:

- Company-A receives 3 referrals because 6 ÷ 2 = 3
- Company-B is not eligible because only 1 billing cycle is completed
- Company-C receives 1 referral because only completed values are considered from 3 ÷ 2

For February, the Super Admin changes the scheme rule to:

One referral for every 3 successful billing cycles.

The February calculation becomes:

Referrals = Billing Cycles ÷3

Under the February scheme:

- Company-A receives 2 referrals because 6 ÷ 3 = 2
- Company-B remains ineligible because only 1 billing cycle is completed
- Company-C receives 1 referral because 3 ÷ 3 = 1

Now suppose the Super Admin launches another scheme for March with the following rule:

One referral for every 1 successful billing cycle.

The March calculation becomes:

Referrals = Billing Cycles ÷ 1

Under the March scheme:

- Company-A receives 6 referrals because 6 ÷ 1 = 6
- Company-B receives 1 referral because 1 ÷ 1 = 1
- Company-C receives 3 referrals because 3 ÷ 1 = 3

This scenario clearly explains that the same company can receive different referral quantities in different months because the referral rule changes every month based on the Super Admin configuration.

Now consider another scenario where the referral scheme is available in January and March but not available in February.

In this case:

- **January Rule**: 1 referral for every 1 billing cycle
- **February**: No referral scheme available
- **March Rule**: 1 referral for every 3 billing cycles

During **January**:

- Company-A receives 6 referrals
- Company-B receives 1 referral
- Company-C receives 3 referrals

During **February**:

- No referral scheme exists
- No company will see the referral option
- All referral quantities become zero regardless of billing history

During **March**:

- Company-A receives 2 referrals because 6 ÷ 3 = 2
- Company-B receives no referral because it has not completed 3 billing cycles
- Company-C receives 1 referral because 3 ÷ 3 = 1

This scenario explains that referral availability completely depends on the active scheme configured by the Super Admin. Even if a customer is eligible, referrals cannot be used when no scheme is active.

Summary of Referral Scheme Overview

In summary, the Referral Scheme works based on four important conditions:

1. The referral scheme must be active.
2. The customer must satisfy the minimum billing eligibility requirement.
3. Referral quantity depends on the referral calculation rule configured for that month.
4. Once the scheme expires, referral quantity resets to zero and the referral option disappears automatically from the portal.

Need your feedback on the below Scenarios:

1. What if a customer discontinues then resumes during an ongoing scheme, how will billing cycles be calculated? Lets say the Referral scheme is for 6 months, if a user is a paid subscriber for 4 months and the referral criteria set in the system is of 2 months. In such scenario the user is eligible for referral and posses two referral Qty. In the fifth month the customer discontinues the service. And joins back or continue the service plan in 6th month. In such scenario how will calculate his referral eligibility and referral counts?
2. What if a customer comes back after a few months, will they become eligible for referral system right away or again they will have to wait for eligible criteria e.g. 2 months to qualify to get the referral option visible?
3. Since this is referral benefit, if the user gets eligible for the referral then there should be a way to notify him. At present there is no such notification mechanism in the system as we have added eligible criteria for referral in the system. How will a customer and its employees be notified?
4. As the Referrals are restricted based on billing cycle, The referral of company are visible to the company employees, think about a situation where the company jas only one referral active and it is visible to all employees. If multiple employees want to refer to their old company, they will not be able to refer. In this scenario where 10-20 employees of an organization will have to chase for 1 available referral. Or they may choose to ignore the referral system where sufficient referral cannot be available within an organization.